

S E R V E D

April 24, 2008

FEDERAL MARITIME COMMISSION

FEDERAL MARITIME COMMISSION

WASHINGTON, D.C.

DOCKET NO. 08-01

NATHAN FREEMAN

v.

**MEDITERRANEAN SHIPPING CO. S.A. and
SHIPCO TRANSPORT, INC.**

**MEMORANDUM AND ORDER ON
JOINT MOTION FOR APPROVAL OF SETTLEMENT AGREEMENT AND
DISMISSAL WITH PREJUDICE¹**

The parties have submitted a Joint Motion for Approval of Settlement Agreement and Dismissal with Prejudice with an attached Settlement Agreement signed by the Complainant and representatives for each Respondent. The parties ask that the Settlement Agreement be approved and the proceeding be dismissed with prejudice.

Complainant asserts that he is an individual who resides in New York. Complainant alleges that Respondent Mediterranean Shipping Company S.A. ("MSC") is an ocean common carrier and that Respondent Shipco Transport, Inc. ("Shipco") is a non-vessel-operating common carrier.

¹ The dismissal will become the decision of the Commission in the absence of review by the Commission. Rule 227, Rules of Practice and Procedure, 46 C.F.R. § 502.227.

Complainant alleges that he engaged a freight forwarder to arrange for the transportation of a shipment of goods from Jacksonville, Florida, to Benin and that the forwarder engaged Shipco to carry the shipment. Shipco, in turn, arranged with MSC to carry the shipment. The shipment arrived at the port of Cotonou, Benin, on or about July 6, 2006. Complainant contends that despite numerous demands, Respondents refused to issue the original bill of lading; therefore, port officials refused to release the shipment. Complainant also asserts that MSC wrongfully claimed that Complainant owed MSC demurrage charges in connection with Complainant's shipment and that MSC refused to release the shipment unless Complainant paid the alleged demurrage. Complainant claims that in November 2006, port of Cotonou customs officials "confiscated and seized" Complainant's shipment due to Complainant's inability to acquire from Respondents the original bill of lading necessary to take possession of the shipment.

Complainant alleges that Respondents violated the Shipping Act of 1984 by refusing to issue an original bill of lading to Complainant, thereby preventing Complainant from taking possession of the shipment, and that Respondents' refusal directly caused Complainant's loss of his entire shipment and property. Complainant also alleges that Respondents "unreasonably, fraudulently and deceitfully attempted to extort alleged demurrage charges" from Complainant in January 2007, even though Respondents knew or should have known that the shipment had been previously confiscated by the customs officials. Complainant asserts that the foregoing activities by Respondents constitute an unreasonable practice related to the delivery of property in violation of 46 U.S.C. § 41102(c) (formerly section 10(d)(1) of the Shipping Act) resulting in injury and damage to Complainant. Complainant seeks reparations for the injury caused by the violation and attorney's fees.

Complainant's allegations, if proven, could constitute a violation of section 10(d)(1) of the Shipping Act. It is "well settled that the law and Commission policy encourage settlements and engage in every presumption which favors a finding that they are fair, correct, and valid." *Old Ben*

Coal Co. v. Sea-Land Serv., Inc., 512, 18 S.R.R. 1085, 1092 (ALJ 1978). See also *Ellenville Handle Works v. Far Eastern Shipping Co.*, 20 S.R.R. 761, 762 (ALJ 1981). Using language borrowed in part from the Administrative Procedure Act,² Rule 91 of the Commission's Rules of Practice and Procedure gives interested parties an opportunity, *inter alia*, to submit offers of settlement “where time, the nature of the proceeding, and the public interest permit.” 46 C.F.R. § 502.91(b).

Generally, when examining settlements, the Commission looks to see if the settlement has a reasonable basis and reflects the careful consideration by the parties of such factors as the relative strengths of their positions weighed against the risks and costs of continued litigation. Furthermore, if it is the considered judgment of the parties that whatever benefits might result from vindication of their positions would be outweighed by the costs of continued litigation and if the settlement otherwise complies with law the Commission authorizes the settlement.

Delhi Petroleum Pty. Ltd. v. U.S. Atlantic & Gulf/Australia - New Zealand Conference and Columbus Line, Inc., 24 S.R.R. 1129, 1134 (ALJ 1988).

The parties contend that the Settlement Agreement meets these criteria. Complainant alleges that Respondents engaged in unreasonable conduct, which is a question of fact. Therefore, it would require extensive discovery into the facts to demonstrate the reasonableness or unreasonableness of the Respondents' conduct. Much of the conduct at issue occurred in Africa and many of the witnesses are located there. As a consequence, costs of litigation and discovery could exceed the damages sought.

The parties contend that the proceeding raises complex legal issues. Litigation of this matter would require introduction of evidence as to the law of Benin with respect to the release of cargo, as the law of Benin would bear on the reasonableness of the conduct at issue. Respondents believe there is a serious issue as to whether the Shipping Act applies.

² “The agency shall give all interested parties opportunity for – (1) the submission and consideration of facts, arguments, offers of settlement, or proposals of adjustment when time, the nature of the proceeding, and the public interest permit.” 5 U.S.C. § 554(c).

In light of the foregoing, the settlement is fair, adequate and reasonable, particularly given the costs and risks of litigation and the amount of damages claimed. Moreover, as all parties are represented by competent counsel and have entered into this settlement willingly, the settlement is not the product of collusion or coercion.

Finally, the settlement does not contravene any law or public policy. The dispute herein relates to a single shipment. There is no allegation of any on-going course of conduct that would present larger policy issues.

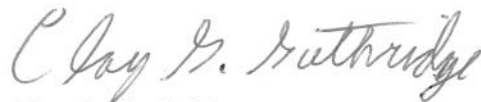
(Memorandum of Points and Authorities in Support of Joint Motion for Approval of Settlement Agreement and Dismissal with Prejudice at 5.)

I find that the parties have established that complaint on its face presents a genuine dispute and that the facts critical to the resolution of the dispute are not reasonably ascertainable. I also find that the settlement is a bona fide attempt by the parties to terminate their controversy and not a device to obtain transportation at other than the applicable rates and charges or otherwise circumvent the requirements of the Shipping Act. Therefore, I approve the Settlement Agreement.

ORDER

Upon consideration of the Joint Motion for Approval of Settlement Agreement and Dismissal with Prejudice, the approval of the Settlement Agreement, and good cause having been stated, it is hereby

ORDERED that this proceeding be **DISMISSED** with prejudice.



Clay G. Guthridge
Administrative Law Judge